

CREATING A SYSTEM

This is how a hypothesis is generated from a creative process, back-tested and then experimented in live-markets. A hypothesis that passes all these levels becomes a self-sustaining strategy which is then added to the trading system. This is how the entire evolution of strategy and systems happen. Creating functional and efficient trading strategies and system requires a lot of time and effort on the part of the trader. For a beginner, this will take 60-70% of their time and also will take many months before they have a trading system in place. Also, constant changes and updates are made to the system. Once this has been created, the next step is to execute the system. Execution mainly is a psychological skill. It is about our ability to trust the system that we have created and keep emotions in check.

We have created multiple working strategies and we know that individual profit-making or loss-making trades mean nothing. Hence, we will now create a system out of these strategies and work on three more aspects –

Once we have taken care of the aspects mentioned and have multiple strategies, we will have a robust system that will help us become a proficient trader. Let us understand each of these above-mentioned aspects in greater detail.

